

Mining Monthly: November Edition

December 5, 2023

All figures in USD unless otherwise stated

1 Month Performance

Gold	+2.7%
Silver	+10.2%
Copper	+4.9%
Platinum	-0.4%

1 Year Performance

Gold	+12.9%
Silver	+10.9%
Copper	+0.3%
Platinum	-10.7%

Equity Indices Performance (1 Month)

GDX	+11.9%
GDXJ	+15.5%
SIL	+15.2%
COPX	+4.6%

Best Performers (1 Month)

Fortuna Silver Mines Inc	FVI	+36.9%
Osino Resources Corp.	OSI	+33.7%
Marathon Gold Corporation	MOZ	+33.3%
Aya Gold & Silver Inc.	AYA	+33.0%
Artemis Gold Inc.	ARTG	+31.0%

Worst Performers (1 Month)

First Quantum Minerals Ltd.	FM	-30.8%
Talon Metals Corp	TLO	-19.6%
Ssr Mining Inc.	SSRM	-15.0%
Arizona Metals Corp.	AMC	-14.8%
Sibanye Stillwater Limited	SBSW	-12.3%

Please refer to the applicable disclosures on the back page
Source: Atrium Research, CapitalIQ, Company Documents

Ben Pirie | Equity Research Analyst | bpirie@atriumresearch.ca | 647-688-9661
Nicholas Cortellucci, CFA | Equity Research Analyst | ncortellucci@atriumresearch.ca | 647-391-3314

What you need to know:

- Precious metal prices were up modestly in November, following strong performance in October. The mining equities outperformed the metals and broader markets as capital seems to have finally started to flow back into the sector. Other commodities also had a solid month.
- Gold closed the month above \$2,000/oz for the first time in its history.
- The lithium price continues to struggle in the wake of a slowing in the adoption rate of electric vehicles amid high interest rates.

Sentiment Update

Precious metals moved higher during the month of November following a strong month of gains in October. The standout statistic was that gold closed the month above \$2,000/oz for the first time in its history. Gold was up 2.7% in November to \$2,025/oz and silver was up 10.2% to \$25.2/oz. On the back of gold breaking the \$2,000/oz psychological barrier, equities significantly outperformed with the GDX, GDXJ, and SIL up 11.9%, 15.5%, and 15.2%, respectively. This compares to the TSX and S&P500 which were up 7.1% and 9.4%, respectively. Other commodities also had a strong month, with copper, steel, and iron ore up 4.9%, 4.0%, and 9.0% respectively. The battery metals space struggled during the month, led by lithium which was down 28% in November bringing the downfall to 79% on the year. Other battery metals fell much more modestly. Uranium posted yet another month of positive gains, ending the month up 9% at \$81.0/lb.

The mining and metals equities saw a large influx of capital during the month of November posting sizable gains, as mentioned above. This was primarily led by gold breaking out of a lengthy consolidation period but also torque from junior miners being an already highly depressed sector trading at trough multiples. Additionally, majors, who we consider are well-informed leaders in the industry, have been taking advantage of these discounted prices as we have seen more strategic investments in junior explorers as well as acquisitions. We once again encourage investors to get involved in the market at these prices, especially given the recent momentum, however, we note to proceed with caution as we have yet to confirm this uptrend is for real.

The volume and size of equity financings continued to be elevated in November (see M&A and Financing section below). We believe this uptick is primarily due to rates appearing to peak and the existence of pent-up demand from the limited transactions over the last 4-6 months. The elevated metals prices could also be a driving factor.

On November 14th, U.S. inflation came in at 3.2% YoY and 0.0% MoM, compared to consensus of 3.3% YoY and 0.1% MoM and the 3.7% and 0.4% reported last month. This compared to U.S. Core inflation data which came in at 4.0% YoY and 0.2% MoM, vs. consensus of 4.1% YoY and 0.3% MoM. Canadian core inflation came in at 2.7% YoY and 0.1% MoM, compared to 3.8% YoY and -0.1% MoM reported last month.

On October 26th, the U.S. GDP Growth Rate came in at +5.2% QoQ, beating consensus of 5.0% and up from October (4.9%). Canadian MoM GDP Growth came in at 0.1%, above consensus of 0.0% and slightly above the 0% posted last month.

Major News

The Canadian Federal Government announced the criteria for projects eligible for funds available through the Strategic Innovation Fund (SIF, C\$1.5B) that aims to accelerate investments in critical mineral projects. The qualifying projects must focus on critical minerals processing, manufacturing and recycling; however, mining projects that show exceptional innovation benefits will also be considered. 31 minerals have been labelled as critical, with priority for lithium, graphite, nickel, cobalt, copper, and rare earth elements.

First Quantum (FM:TSX) announced that ore processing operations were reduced at Cobre Panama due to protests. Later in the month, operations were further reduced due to an illegal blockade at the port.

Lundin Gold (LUG:TSX) announced drill results from its Fruta del Norte mine, highlights include 6.92 g/t Au over 48.5m and 6.49 g/t Au over 37.9m. Lundin later announced that it had fully repaid the remaining balance on its senior debt facility of \$72.2M.

Ascot Resources (AOT:TSX) reported drill results from its Big Missouri deposit, highlights include 98.94 g/t Au over 6.48m including 691.5 g/t Au over 0.90m. AOT also provided a construction update for its Premier Gold Mine including 66% completion at the end of Q3, which is expected to increase to 73% by the end of October.

i-80 Gold (IAU:TSX) announced that it has entered into a non-binding agreement with an arms-length party to form a JV on Ruby Hill. IAU later reported drill results from the Cove project including 25.4 g/t Au over 20.1m.

Alamos Gold (AGI:TSX) announced drill results from Island Gold, highlights include 95.41 g/t Au over 3.02m and 118.59 g/t Au over 2.31m.

Skeena Resources (SKE:TSX) reported an updated feasibility study for its Eksay Creek project including an after-tax NPV(5%) of C\$2B on a 4.6 Moz resource at 3.60 g/t AuEq.

Hudbay Minerals (HBM:TSX) announced the early redemption of Copper Mountain's senior secured notes due 2026 for \$54.7M at a call premium of 104%. The note is being refinanced using its existing revolver.

Dundee Precious Metals (DPM:TSX) announced assay results from Coka Rakita, highlights include 2.59 g/t Au over 36m and 43.36 g/t Au over 73m.

Equinox Gold (EQX:TSX) provided a construction update on the Greenstone Project including 96% completion compared to 93% in September. The first gold pour remains on track for H1/24.

M&A and Financings

Moneta Gold (ME:TSX) and **Nighthawk Gold (NHK:TSX)** announced an at-market merger where ME will acquire NHK using stock. NHK also entered into a \$12.5M bought deal financing led by SCP Resource Finance.

Teck Resources (TECK.B:TSX) announced that it has agreed to sell its steelmaking coal business, Elk Valley Resources, through a sale of a majority stake to Glencore for an implied enterprise value of US\$9.0 billion, and a sale of a minority stake to Nippon Steel Corporation.

Calibre Mining (CXB:TSX) and **Marathon Gold (MOZ:TSX)** entered into a definitive agreement whereby Calibre will acquire Marathon to create a mid-tier gold producer with expected annual production of 500 Koz. The parties later announced the completion of closing of its C\$40M financing to acquire Marathon for \$0.60/share.

Dolly Varden Silver (DV:TSXV) announced the closing of a C\$10M strategic investment from Hecla Mining.

Hercules Silver (BIG:TSXV) announced that it had entered into an agreement with Barrick Gold (ABX:NYSE) for a C\$23.4M strategic investment, who will now own 12% of BIG.

Taseko Mines (TKO:TSX) reported that Taurus Mining Royalty Fund has obtained investment committee approval for a \$50M royalty and that Societe Generale has received credit approval for a \$50M senior secured debt facility.

New Found Gold (NFG:TSXV) reported that it had closed its \$56M bought deal financing led by BMO Capital Markets and Canaccord Genuity.

Ero Copper (ERO:TSX) announced the closing of its \$111M bought deal financing led by BMO Capital Markets.

Laramide Resources (LAM:TSX) announced that it completed a AU\$12M private placement led by Bell Potter Securities.

Li-FT Power (LIFT:TSXV) announced that it closed a C\$12.4M overnight marketed public offering led by Canaccord Genuity.

Brixton Metals (BBB:TSXV) reported that it had completed the first tranche of its non-brokered private placement of \$14.5M.

Troilus Gold (TLG:TSX) announced that it had closed a C\$15M bought deal financing led by Haywood Securities and Cormark Securities.

CanAlaska Uranium (CVV:TSXV) announced that due to increased demand, it has increased its non-brokered private placement to C\$12M (previously \$7.5M).

Updates from Our Coverage

Omai Gold Mines (OMG:TSXV, BUY \$0.30 TARGET) announced additional drill results from the Omai Gold Project in Guyana, on November 13th. The highlight intercept was 5.89 g/t Au over 12.0m (70 g x m), immediately west of the historic pit. Find our research note on this release [here](#).

Trigon Metals (TM:TSXV, BUY \$0.60 TARGET) announced production statistics at the Kombat Mine for the month of October on November 7th. Find our research note on this release [here](#).

On November 29th, TM announced three key leadership appointments as well as the acquisition of the sizeable and highly prospective Kalahari Copperbelt Project. Find our research note on this release [here](#).

Performance by Commodity

Commodity	Unit	Price	1 Month	1 Year
Gold	(\$/oz)	2,035.5	+3%	13%
Silver	(\$/oz)	25.2	+10%	+11%
Platinum	(\$/oz)	929.6	-0%	-11%
Copper	(\$/lb)	3.8	5%	+0%
Steel	(\$/t)	3,886.0	+4%	+3%
Iron Ore	(\$/t)	133.5	+9%	+30%
Lead	(\$/t)	2,116.9	-1%	-3%
Manganese	(CNY/t)	29.3	-5%	-6%
Palladium	(\$/oz)	1,013.4	-9%	-48%
Uranium	(\$/lb)	81.0	+9%	+61%
Lithium	(CNY/t)	118,500.0	-28%	-79%
Cobalt	(\$/t)	33,420.0	0%	-36%
Nickel	(\$/t)	16,899.0	-7%	-37%
Tin	(\$/t)	23,501.0	-6%	+3%
Zinc	(\$/t)	2,472.0	+2%	-20%
Molybdenum	(\$/kg)	55.6	0%	+20%
Titanium	(\$/kg)	6.0	0%	-33%

Figure 1: Performance by Commodity (Source: Trading Economics)

Performance by Group

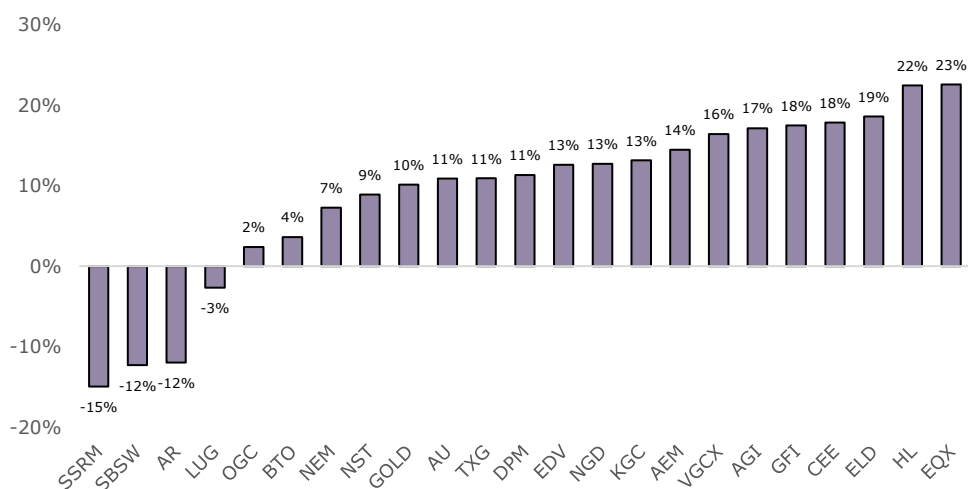


Figure 2: Major Gold Producers November Performance

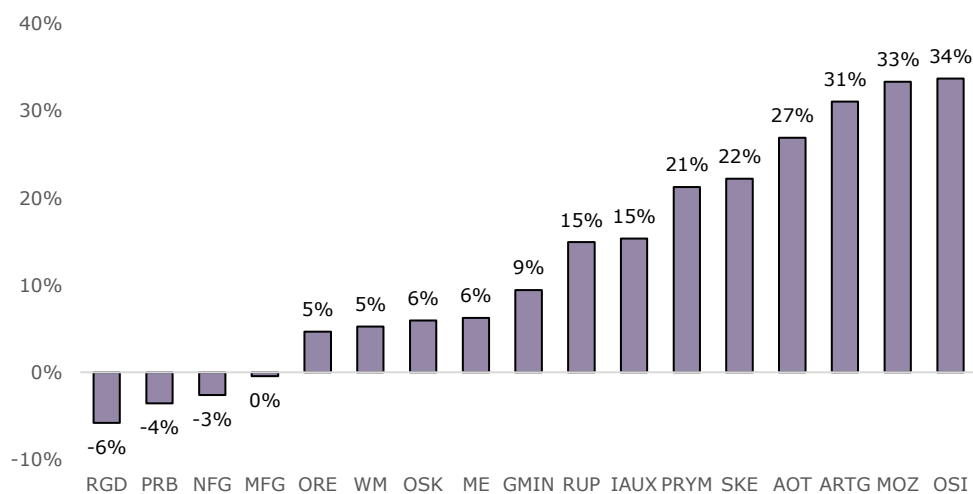


Figure 3: Gold Developers & Major Explorers November Performance

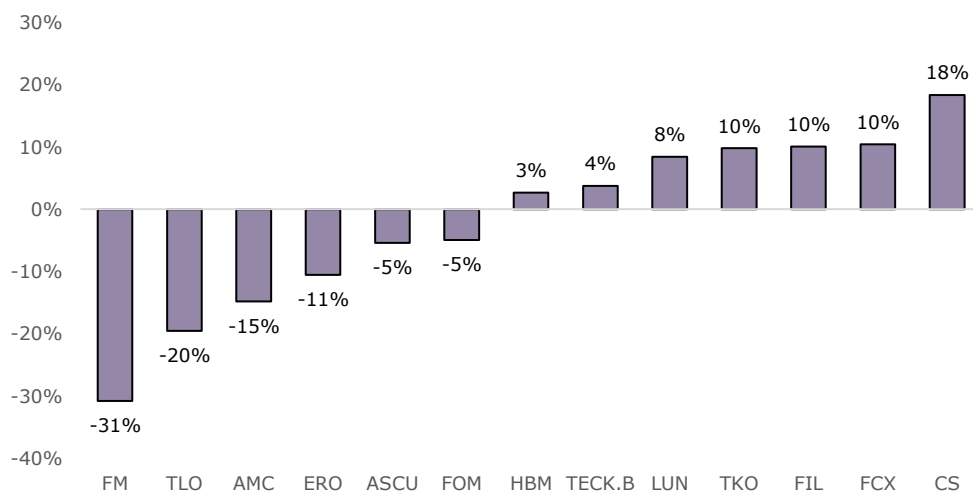


Figure 4: Copper Equities November Performance

Best Drill Intercepts

We highlight the best drill intercepts in the industry as we believe here lies some of the highest upside opportunities in the exploration market, evident by the strong outperformance compared to the broader market as they uncover potentially sizeable assets.

Company	Ticker	Grade (g/t)	Interval (m)	Grade x Width	November Performance
Dundee Precious Metals	DPM	43.40	73	3,168	+7.7%
Southern Cross Gold	SXG	62.70	20	1,254	+19.3%
Amex Exploration	AMX	17.00	48	816	+34.0%
Tudor Gold	TUD	1.23	602	740	+21.1%
Ascot Resources	AOT	98.80	7	642	+28.2%
Heliostar Metals	HSTR	4.13	147	607	+14.0%
Snowline Gold	SGD	1.45	373	541	+12.4%
Nevada King Gold	NKG	6.55	82	537	+5.9%
i-80 Gold	IAUX	25.40	20	511	+18.6%
CopAur Minerals	CPAU	15.30	32	490	-20.0%

Figure 5: Best Gold Intercepts in November (Source: MinerDeck)

Company	Ticker	Grade (g/t)	Interval (m)	Grade x Width	November Performance
Hycroft Mining	HYMC	534	85	45,390	-3.2%
Aya Gold & Silver	FIL	7,868	5	37,766	+38.6%
Filo Corp.	FIL	49	541	26,617	+14.0%
Adriatic Metals	ADT1	346	30	10,380	-2.9%
Nevada King Gold	NKG	119	81	9,639	+5.9%
Dolly Varden Silver	DV	296	27	7,992	+15.8%
Minsud Resources	MSR	9	750	7,103	+5.3%
Kootenay Silver	KTN	208	29	6,032	+40.0%
Hercules Silver	BIG	139	42	5,825	+29.7%
Collective Mining	CNL	52	99	5,148	-11.6%

Figure 6: Best Silver Intercepts in November (Source: MinerDeck)

Company	Ticker	Grade (%)	Interval (m)	Grade x Width	November Performance
Filo Corp.	FLMMF	0.66	1,014	669	+15.4%
Cooper Metals	CPM	2.80	71	199	+327.8%
Benton Resources	BEX	7.18	27	193	+240.0%
Minsud Resources	MSR	0.25	767	192	+5.3%
Xanadu Mines	XAM	0.17	1,080	184	-9.1%
DLP Resources	DLP	0.18	882	159	+4.8%
True North Copper	TNC	1.91	70	134	+28.0%
Hillgrove Resources	HGO	3.35	37	124	+5.0%
Tudor Gold	TUD	0.23	518	119	+21.1%
C3 Metals	CCCM	0.37	281	104	+3.1%

Figure 7: Best Copper Intercepts in November (Source: MinerDeck)

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HOLD	0
SELL	0

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